

Conversion Funnel & User Retention Analysis

Project Overview

This project analyzes user behavior across an e-commerce conversion funnel and evaluates customer retention over time between January and August 2025. The goal was to identify major drop-off points in the purchasing process, compare performance across countries, and uncover retention patterns that could impact long-term customer engagement. The analysis was conducted using SQL-based funnel analysis, retention metrics, and cohort analysis techniques.

Objectives

- Analyze conversion rates across key funnel stages.
 - Identify where users drop off the most during the purchase journey.
 - Compare conversion performance between countries.
 - Evaluate user retention using D7, D14, D21, and D28 metrics.
 - Detect behavioral patterns and opportunities to improve retention.
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Key Findings

- The purchase stage showed the lowest overall conversion rate, reaching approximately 1.25%, indicating a major drop-off near the final stage of the funnel.
 - Conversion performance varied significantly across countries. Uruguay achieved the highest purchase conversion rate at 4.55%, while Paraguay showed no successful purchases during the analyzed period.
 - Retention rates decreased considerably over time. Users registered in January showed stronger D7 and D14 retention compared to users registered in August.
 - Brazil showed the strongest short-term retention performance in D7, while countries like Ecuador and Colombia presented lower retention percentages across later periods.
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Business Recommendations

- Investigate possible friction points during checkout and payment stages, including UI/UX issues, product availability, or payment process complexity.
- Prioritize analysis in countries with unusually low or zero conversion rates to better understand operational or behavioral barriers.
- Improve retention strategies through onboarding optimization, customer engagement campaigns, and personalized follow-up actions.
- Continue monitoring retention cohorts over time to identify long-term behavioral changes and opportunities for

customer loyalty improvements.